Oxford Cambridge and RSA Examinations

GCE

Economics

H460/03: Themes in economics

A Level

Predicted Paper — MODERATE

Mark Scheme

SECTION A — Multiple Choice Answers

Question	Answer	Question	Answer
1	**C**	16	**B**
2	**C**	17	**B**
3	**B**	18	**C**
4	**B**	19	**C**
5	**B**	20	**B**
6	**B**	21	**B**
7	**C**	22	**C**
8	**B**	23	**D**
9	**B**	24	**D**
10	**C**	25	**B**
11	**C**	26	**D**
12	**A**	27	**A**
13	**C**	28	**C**
14	**C**	29	**D**
15	**D**	30	**B**

Section A — Full Rationales

Q	Key	Rationale	AO
1	**C**	Rent is the reward to the factor of production 'land'. Interest is the reward to capital, profit to enterprise, and wages to labour.	AO1
2	**C**	Multiplier = 1/(1-MPC) = 1/(1-0.75) = 1/0.25 = 4.	AO2
3	**B**	Portability is a characteristic of money (it must be easy to carry and transfer). Medium of exchange, store of value and unit of account are all functions.	AO1
4	**B**	Expansionary fiscal policy involves increases in government spending or reductions in taxation. A is monetary; C is contractionary fiscal; D is monetary/open market operations.	AO1
5	**B**	XED = %ΔQd Y / %ΔP X = -5 / +10 = -0.5. The negative sign indicates the goods are complements.	AO2
6	**B**	Supernormal profit = (AR – AC) × Q = (£20 – £15) × 100 = £500.	AO2
7	**C**	Investment raises the productive capacity of the economy and shifts LRAS right. A is a movement along AS. B and D affect AD, not LRAS.	AO1
8	**B**	In long-run perfect competition, firms earn normal profit only (AR = AC) and produce at MC = MR, giving the tangency condition MC = MR = AR = AC.	AO1
9	**B**	TU at 3 = 24; TU at 4 = 28; MU of 4th unit = 28 – 24 = 4.	AO2
10	**C**	£500,000 × 1.25 = $625,000.	AO2
11	**C**	Structural unemployment arises from mismatches of skills caused by long-term changes in the structure of the economy (e.g. technological change). A is cyclical, B is seasonal, D is frictional.	AO1
12	**A**	Old ULC = £15/10 = £1.50. New ULC = £18/15 = £1.20. Change = –£0.30.	AO2
13	**C**	A minimum wage above equilibrium leads to quantity supplied of labour exceeding quantity demanded, creating an excess supply (unemployment).	AO3
14	**C**	Rearranging MV = PY, with V and Y constant, %ΔP = %ΔM = 6%.	AO2
15	**D**	Higher domestic inflation makes exports less competitive, reducing demand for the currency. All others would cause appreciation.	AO3
16	**B**	Higher earners pay a higher average (and marginal) rate of tax, which is the definition of a progressive tax.	AO1
17	**B**	The Gini coefficient measures inequality. A fall (closer to 0) means lower inequality. It does not directly measure absolute poverty.	AO3
18	**C**	After-tax equilibrium has a higher price and lower quantity. Both consumer surplus and producer surplus decrease; the combined loss exceeds tax revenue (deadweight loss).	AO2
19	**C**	Investment by firms is an injection into the circular flow. Saving, taxation and imports are all leakages.	AO1
20	**B**	A positive consumption externality means third parties also benefit, so MSB > MPB. Such goods are under-consumed by the market.	AO1
21	**B**	Productive efficiency occurs at the minimum of AC (where MC cuts AC from below).	AO1
22	**C**	Ability to segment the market (with different PEDs) is essential for price discrimination. A and B would prevent it; D makes price discrimination	AO1

		impossible since firms are price takers.	
23	**D**	A tariff raises the domestic price of imports, reducing imports and expanding domestic production. Consumer surplus falls; government tax revenue rises.	AO3
24	**D**	Cash in sight accounts is immediately accessible — the most liquid. Bonds, shares and time deposits all require conversion or delays.	AO1
25	**B**	A minimum price above equilibrium causes quantity supplied to exceed quantity demanded — an excess supply (surplus).	AO3
26	**D**	Both face downward-sloping demand curves (they are price makers). Monopoly has high barriers; monopolistic competition does not and has normal profit only in the long run.	AO1
27	**A**	A fall in oil prices lowers firms' costs, shifting SRAS right. B and C raise costs (SRAS left). D affects AD.	AO3
28	**C**	The three dimensions of HDI are: a long and healthy life (life expectancy), knowledge (education: mean and expected years of schooling), and a decent standard of living (GNI per capita).	AO1
29	**D**	The further the Lorenz curve lies from the 45° line of perfect equality, the greater the income inequality.	AO3
30	**B**	Interest, profits and dividends received from overseas investments are recorded on the primary income balance of the current account.	AO1

SECTION B — Guidance

Question 31

Using the data in Fig. 1.2 and information in Extract 1, calculate the percentage shortfall between the number of new homes completed in 2022/23 and the government's annual target. [2 marks]

Award 2 marks for the correct answer:

Shortfall = (300,000 – 234,000) / 300,000 × 100 = 22% (accept 22.0%)

Award 1 mark for:

- Correct method/working but incorrect final answer
- Answer stated as 66,000 homes (absolute shortfall) without percentage
- Missing % sign

Total: 2 marks

Question 32

Explain, using a demand and supply diagram, how a government-backed Help-to-Buy scheme may have increased house prices. [3 marks]

Award 1 mark for knowledge (AO1):

- Recognition that Help-to-Buy is a demand-side policy / makes mortgages cheaper or easier to obtain for first-time buyers.

Award up to 2 marks for application/analysis (AO2):

- Demand curve shifts right (D→D1) because first-time buyers now have greater effective purchasing power.
- Because supply of housing is price inelastic in the short run, the rightward shift in demand causes a proportionally larger rise in price than quantity.
- A correctly labelled diagram showing a shift in demand with a new higher equilibrium price can gain marks in place of narrative explanation.

Total: 3 marks

Question 33* (15 marks)

Evaluate, using an appropriate diagram and the information in Extract 1, whether the introduction of rent controls in the UK housing market would be an effective policy to improve affordability for renters.

Level / Mark	Descriptor
Level 3 (11–15 marks)	Good knowledge and understanding of relevant economic ideas, principles and models. Good application of economic concepts to the context and scope of the question, or good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response and have no errors that affect the validity of the analysis. Strong evaluation of different perspectives characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / factors that determine significance / extent; a logical and well-supported judgement.

Level 2 (6–10 marks)	Good knowledge and understanding of relevant economic ideas, principles and models. Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Relevant data may be referred to where appropriate. Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors that affect the validity of the analysis or are not integrated into the response. Reasonable evaluation of different perspectives characterised by some developed chains of reasoning; an unsupported judgement.
Level 1 (1–5 marks)	Reasonable knowledge and understanding of relevant economic ideas, principles and models. Limited application of economic concepts. Use of data may be generic or irrelevant. Limited analysis characterised by reasoning that lacks a clear structure and/or does not address the question; simple statement(s) of cause and consequence; absence of relevant diagram(s) or diagram(s) with errors/omissions that significantly affect validity. Limited evaluation characterised by simple statement(s), a stated judgement, or the absence of a judgement.
0 marks	Response is not worthy of credit

Indicative Content

Knowledge:

• Maximum prices (price ceilings); excess demand; consumer and producer surplus; price elasticity of supply.

Application (Extract 1):

• Rents in London rose 17% in 2023.

• Supply of housing is price inelastic in the short run.

• Concern that landlords might exit the market.

• Price/earnings ratio of 8+ suggests severe affordability problems.

Analysis — arguments in favour of rent controls:

• A maximum rent below the equilibrium lowers rents for those who can obtain housing, raising their real incomes and discretionary spending.

• Correctly drawn maximum price diagram: ceiling price below equilibrium; Qd > Qs creating excess demand; consumer surplus for those who obtain housing increases.

• Addresses inequality — housing costs take up a large share of income for low earners.

• May correct perceived monopsony/market power of landlords in some local markets.

Evaluation — arguments against rent controls:

• Excess demand → shortage of rental housing; some tenants cannot find a home at all.

• Landlords may exit the market, reducing the quantity supplied further in the long run.

• Incentive to maintain or improve properties is reduced; housing quality may fall.

• Black markets may develop (key deposits, under-the-table payments).

• Alternative policies — increasing housing supply (building more homes) — would tackle the root cause.

Judgements might include:

• Depends on the elasticity of supply — the more inelastic supply is, the smaller the negative effect on quantity supplied.

• Depends on the extent of monopsony power in local housing markets.

• Depends on whether rent controls are combined with supply-side policies such as planning reform.

• Short-run vs long-run effects may differ markedly.

Question 34

Using the data in Fig. 2.1, calculate the change in the real interest rate between December 2021 and October 2022. [3 marks]

Award 1 mark for recognition: Real interest rate ≈ nominal rate − inflation rate.

Award 1 mark for each correct real rate:

- Dec 2021: 0.25% − 5.4% = −5.15%
- Oct 2022: 2.25% − 11.1% = −8.85%

Award full 3 marks for stating:

- The real interest rate has fallen by approximately 3.7 percentage points (from −5.15% to −8.85%).

Accept answers that identify that despite rising nominal rates, real rates became more negative because inflation rose faster.

Total: 3 marks

Question 35

Using Fig. 2.1, identify two pieces of evidence that suggest interest rate rises were followed by a fall in CPI inflation. [2 marks]

Award 1 mark for each valid piece of evidence (max 2):

- Bank Rate rose from 2.25% (Oct 2022) to 5.00% (Jun 2023) and over the same period CPI inflation fell from 11.1% to 7.9%.
- Bank Rate reached a peak of 5.25% by Dec 2023 and CPI had fallen to 4.0%, down from 11.1% at its peak.
- Any clearly expressed observation that rising Bank Rate coincides with (or is followed by) falling CPI.

Total: 2 marks

Question 36* (15 marks)

Evaluate, using the information in Extract 2, whether supply-side policies would be a more effective way of raising UK living standards than demand-side policies.

Level / Mark	Descriptor
Level 3 (11–15 marks)	Good knowledge and understanding of relevant economic ideas, principles and models. Good application of economic concepts to the context and scope of the question, or good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response and have no errors that affect the validity of the analysis. Strong evaluation of different perspectives characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / factors that determine significance / extent; a logical and well-supported judgement.
Level 2 (6–10 marks)	Good knowledge and understanding of relevant economic ideas, principles and models. Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Relevant data may be referred to where appropriate.

	Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors that affect the validity of the analysis or are not integrated into the response. Reasonable evaluation of different perspectives characterised by some developed chains of reasoning; an unsupported judgement.
Level 1 (1–5 marks)	Reasonable knowledge and understanding of relevant economic ideas, principles and models. Limited application of economic concepts. Use of data may be generic or irrelevant. Limited analysis characterised by reasoning that lacks a clear structure and/or does not address the question; simple statement(s) of cause and consequence; absence of relevant diagram(s) or diagram(s) with errors/omissions that significantly affect validity. Limited evaluation characterised by simple statement(s), a stated judgement, or the absence of a judgement.
0 marks	Response is not worthy of credit

Indicative Content

Knowledge:

• Supply-side vs demand-side policies; LRAS and AD; living standards (real GDP/GNI per capita); productivity; AD/AS diagram.

Application (Extract 2):

• UK productivity growth has fallen from 2% to 0.5% p.a. since 2008.

• Output per hour 16% below France/Germany/USA.

• Business investment/GDP below OECD average.

• MPC raised rates from 0.1% to 5.25%.

Analysis — supply-side arguments:

• Investment in infrastructure, education and R&D can raise productivity and shift LRAS right — raising real output without raising the price level sustainably.

• Deregulation, labour market flexibility, competition policy all raise productive potential.

• Living standards depend on real GDP per capita — only supply-side policies sustainably raise productive capacity in the long run.

Evaluation — demand-side and limits of supply-side:

• In the short run, demand-side policies (fiscal/monetary) can close output gaps and reduce cyclical unemployment — directly raising incomes.

• Supply-side policies have long time lags — education and infrastructure take years to bear fruit.

• Interventionist supply-side policies are costly; market-based approaches risk widening inequality.

• Some policies work through both sides — infrastructure investment raises both AD (short run) and LRAS (long run).

Judgements might include:

• Depends on the time horizon — short run vs long run.

• Depends on the cause of weak growth — structural (supply-side) vs cyclical (demand-side).

• Depends on the state of public finances and scope for fiscal expansion.

• A policy mix is often most effective.

Question 37

Using Fig. 3.1, calculate the percentage increase in the UK National Living Wage between 2016 and 2024. [2 marks]

Award 2 marks for the correct answer:

(£11.44 − £7.20) / £7.20 × 100 = 58.9% (accept 58.88%, or 59%).

Award 1 mark for:

- Correct working with arithmetic error
- £4.24 increase stated without percentage conversion
- Missing % sign

Total: 2 marks

Question 38 (8 marks)

Evaluate, using the information in Extract 3, whether a further rise in the National Living Wage is likely to reduce income inequality in the UK.

Level / Mark	Descriptor
Level 2 (5–8 marks)	Good knowledge and understanding of relevant economic ideas, principles and models. Good application of economic concepts to the context and scope of the question, or good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response and have no errors that affect the validity of the analysis. Strong evaluation of different perspectives characterised by well-developed chains of reasoning; a logical and well-supported judgement.
Level 1 (1–4 marks)	Reasonable knowledge and understanding of relevant economic ideas, principles and models. Reasonable application of economic concepts to some elements of the given context and scope of the question. Reasonable analysis characterised by undeveloped chains of reasoning in the form of single links. Limited evaluation characterised by simple statement(s); a stated judgement or the absence of a judgement.
0 marks	Response is not worthy of credit

Indicative Content

Knowledge: minimum/living wage; income inequality; Gini coefficient; Lorenz curve; monopsony; efficiency wages.

Application (Extract 3):

- NLW rose from £10.42 to £11.44 (9.8% rise) in April 2024.
- 2.7 million workers benefited directly.
- Low Pay Commission aims to avoid adverse employment consequences.
- Affects hospitality, social care, retail most.

Analysis — why NLW may reduce inequality:

- Compresses the wage distribution — raising the floor without raising the ceiling.

• Direct pay rise for 2.7m low earners → Lorenz curve shifts closer to line of equality.

• In monopsonistic labour markets, a higher NLW may raise both wages and employment.

Evaluation — why NLW may not reduce inequality:

• Households with no workers (pensioners, unemployed) do not benefit directly — inequality between working and non-working households unchanged.

• Possible job losses/reduced hours in low-margin sectors may offset gains.

• Firms may pass costs on via higher prices — low earners spend a higher share on basics so inflation hurts them more (regressive effect).

• Tax and benefit system plays a bigger role than the NLW in determining post-tax inequality.

Judgements might include:

• Depends on the size of the increase and how far above market equilibrium it is.

• Depends on degree of monopsony power in affected markets.

• Depends on complementary policies (benefits, in-work support).

• Depends on PED of goods produced by firms most affected (ability to pass on costs).

Assessment Objectives Grid

Question	AO1	AO2	AO3	AO4	Total	QS
Section A Total	**15**	**7**	**8**	**—**	**30**	**(13)**
31	—	2	—	—	2	(2)
32	1	2	—	—	3	
33*	2	3	4	6	15	
34	2	1	—	—	3	(3)
35	1	1	—	—	2	(2)
36*	2	3	4	6	15	
37	—	2	—	—	2	(2)
38	1	1	2	4	8	
Section B Total	**9**	**15**	**10**	**16**	**50**	**(9)**
Paper Total	**24**	**22**	**18**	**16**	**80**	**(22)**